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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2022

Financial Modelling

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**
- (iv) **PV, FV tables are allowed**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a)** Briefly discuss what do you understand by financial modelling?

Use the data given below to answer Q (b) and Q(c)

A company is considering the purchase of a copier that costs \$ 5,000. Assume a required rate of return of 10% and the following cash flow schedule.

- Year 1: \$ 3,000
- Year 2: \$ 2,000
- Year 3: \$ 2,000

- (b)** What is the project's NPV?

- (c)** What is the project's Payback period?

- (d)** List down the 4 main elements of feasibility analysis/ study.

- (e)** With the help of relevant example, differentiate between regular annuity and annuity due.

- (f)** Suppose you plan to celebrate your parents 50th anniversary in five years. If fixed deposit pays 8 percent, how much money do you need to set aside today to have Rs 25,00,000 for the celebration.

- (g)** List down the various users/ creators of financial models.

- (h)** What are the main building blocks of financial modelling?

- (i)** What are the three tools of What if analysis in Excel. Briefly explain the use of each tool in financial modelling.

- (j)** Differentiate between static and dynamic financial model.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

- Q.2. (a)** Differentiate between financial model and other types of models?

OR

- (b)** Use appropriate examples and discuss any 4 best practices of financial modelling.

Q.3. (a) With the help of relevant examples, list down and explain the main parts of a financial feasibility study.

OR

(b) To ensure that the model is working correctly under all inputs, it needs to be audited before being used. Discuss various techniques of auditing a financial model.

Q.4. (a) Types of financial model depends on the purpose for what it has been created. List down various types of financial models.

OR

(b) ABC Limited has borrowed Rs10000000 at an interest rate of 12 percent. The loan is to be repaid in 3 equal annual instalments payable at the end of each of the next 3 years. Develop the loan amortization schedule.

Q.5.(a) Two most critical techniques used for risk management are sensitivity analysis and scenario analysis. With the help of relevant examples, discuss and differentiate between the two techniques.

OR

(b) Discuss any 2 of the following concepts:

1. Steps to create a financial model
2. Current Ratio and its various components
3. Profitability Ratios

SECTION-C

(2×15=30)

The following data related to an upcoming project:

- Initial Capital Investment = \$3,25,000 (which includes \$50,000 of non-depreciable land and \$2,75,000 of depreciable equipment.
- Method of depreciation – Straight Line Method
- Required Current Assets = \$60,000
- Current Liabilities = \$25,000
- Expected Sales each year = \$3,10,000
- Cash Operating Expenses = \$ 1,10,000
- Salvage Value of Land= \$1,20,000
- Complete NWC will be Recovered
- Life of Project = 4 Years
- Tax Rate = 35%

Q.6. Attempt all parts of the following:

6(a) Use the data and compute the following:

- Initial Cash Outflow
- After Tax Operating Cash Flows
- Terminal Year Cash Flow

6(b) Compute NPV of the project, considering the required rate of return to be 9% and the cash flows as computed in Q6(a).